

The inventor came back a week later to collect his rice. But the king told him it couldn't be done. There wasn't enough rice to fulfil his request in the entire kingdom!

Based on the 64 squares, by starting with just one rice grain on square one, two grains on square two, four grains on square three and so forth, the king would have needed to have 18 446 744 073 709 551 615 grains of rice in total by the final square.

This is the power of compound interest.

Much like the king who couldn't visualise the effect of compounding one grain of rice 64 times, many of us can't always grasp the effect it can have on our wealth.

Compound interest is a beautiful thing where, when assuming a conservative 7 per cent annual return over time, your money approximately doubles in value every 10 years. When your investment returns money, we call this the rate of return (or annual return when you look at it after one year). Compound interest on your annual rate of return is the driving force that makes investing so powerful. Einstein even called it the eighth wonder of the world. And rightfully so.

So how does it work? Imagine that you have invested \$1000 (this is your principal or initial amount of money invested), and you get 10 per cent interest on your money that year, giving you an extra \$100. Great, you now have \$1100 (this is your new balance).

Next year you also have a 10 per cent interest, but this time it doesn't just work on your original \$1000, it now also works on your extra \$100, so your money grows to \$1210.

You begin to get interest on top of your interest, on top of your interest. And over time your money, like the rice, begins to experience exponential growth. Nice.

If the chessboard example didn't quite do it for you, let me show you with [figure 1.2](#).